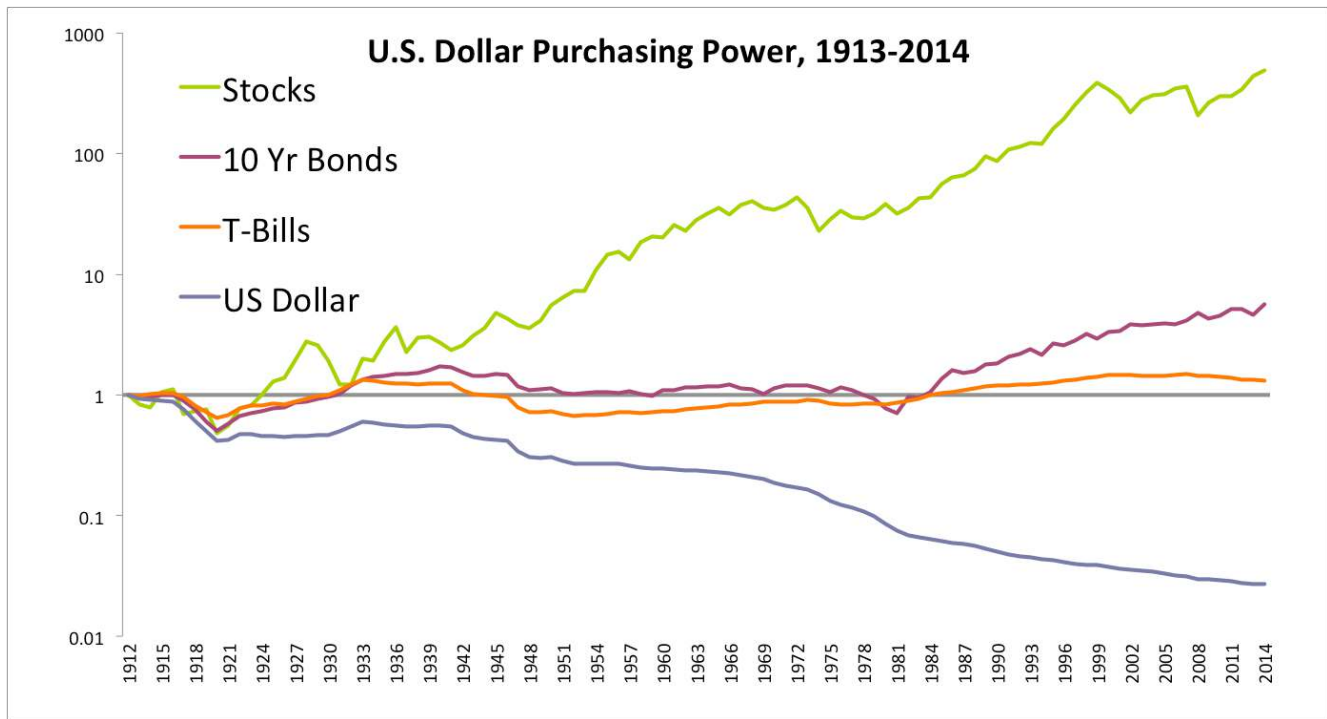


FIGURE 3 – Purchasing Power, 1913-2014



Source: Global Financial Data, Shiller

For those looking for a beautiful coffee table book on the topic of historical market returns, check out my all-time favorite investing book, [Triumph of the Optimists: 101 Years of Global Investment Returns](#). (There are also free yearly updates of the book from [Credit Suisse here](#). All of the yearly updates are **highly** recommended.) This fantastic book illustrates that many global asset classes in the twentieth century produced nice gains in wealth for individuals who bought and held those assets for generation-long holding periods. It also shows how the assets went through regular and painful drawdowns like the Global Financial Crisis of 2008.

Unfortunately for investors, there are only two states for your portfolio – all-time highs and drawdowns. Drawdowns for those unfamiliar are simply the peak to trough loss you are experiencing in an investment. So if you bought an investment at 100 and it declines to 75, you are in a 25% drawdown. If it then rises to 110, your drawdown is then 0 (all-time high).

For some long-term perspective, set forth below are some charts based on data from the book